SPECIAL REPORT · GOVERNANCE AND POLICY RISK

Nvidia's Founder Under Investigation: What the Jensen Huang Affair Means for the World's Most Important AI Company

On Sunday Nvidia's board opened an independent investigation after reports that its founder and chief executive, Jensen Huang, was the target of a Chinese intelligence effort; in a memo to staff Huang admitted an affair with the woman at the centre of the reports, an executive at Megaspeed, a Singapore-based Nvidia customer. The news lands after Nvidia's worst day since January 2025, nine days before quarterly results and ten days before a requested congressional briefing. This report separates what is confirmed from what is reported, and analyses the governance, policy and business risks for Nvidia.

Global Markets Research · Equity Research Desk Prepared by ANDRA MARKETS

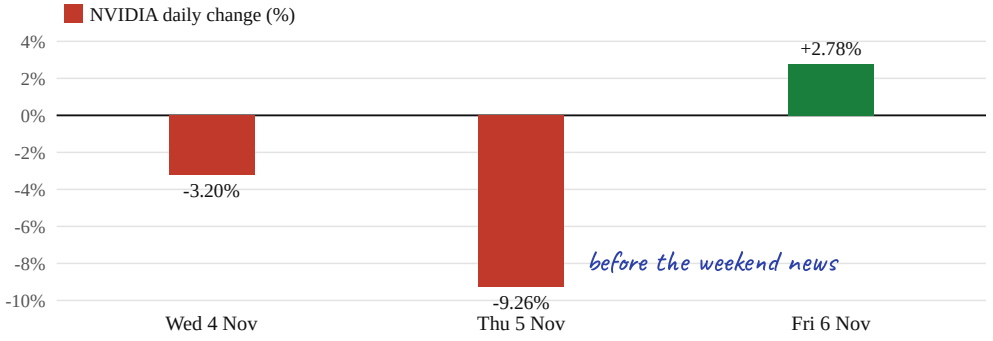
governance meets geopolitics

Coverage summary. Nvidia's board said on 8 November that it was initiating an independent investigation in light of reporting that Huang had been the target of a foreign intelligence effort, led by independent directors with outside counsel. It added that it had no reason to believe national security or Nvidia secrets were compromised and that it has confidence in Huang, who will remain chief executive. In a memo to staff, Huang wrote that he had been unfaithful to his wife, apologised, and said he supports the review. The New York Times and the Financial Times reported that US intelligence assessed Alice Huang, a Chinese citizen and Megaspeed executive, as having been recruited by China's Ministry of State Security, and that a memo on the matter reached senior Trump administration officials last spring. Nvidia had earlier described their interactions as ordinary customer contacts. None of the intelligence claims has been tested publicly; what is certain is that Nvidia now faces a board investigation, bipartisan congressional pressure and renewed scrutiny of its China business at the most sensitive moment of the year.

the key-person question

NVDA, FRI CLOSE	RESULTS	CONGRESS BRIEFING	CEO SINCE
$186.64	**17 Nov**	**18 Nov**	**1993**
−9.3% Thu, +2.8% Fri	*Q3 guide $108B*	*requested; reply due 11 Nov*	*co-founder, age 63*

EXHIBIT 1. NVIDIA DAILY SHARE-PRICE MOVES IN THE WEEK BEFORE THE NEWS (%)



before the news

Sources: Motley Fool and StockAnalysis via KuCoin (Thursday −9.26%, Friday +2.78%); Andra Markets 2026-92 (Wednesday −3.2%).

1.0 Executive Summary

Eight points

1. What is confirmed. A board investigation led by independent directors with outside counsel; Huang's written admission of an affair; his continuation as CEO; and the board's statement that it sees no reason to believe secrets were compromised.

2. What is reported, not proven. That US intelligence assessed Alice Huang as recruited by China's Ministry of State Security, that she sought information on Nvidia's chips and possibly to influence its China strategy, and that Secretary of State Marco Rubio oversaw a memo on the matter. These are press reports citing unnamed officials.

3. The Megaspeed link matters most for the business. Megaspeed is part of Nvidia's cloud partner network, and the Commerce Department has reportedly examined whether it helped Chinese firms circumvent export controls. Nvidia says diversion concerns were debunked last year.

4. Congress is engaged on both sides. The chairs of the House Foreign Affairs, China Select and Intelligence committees asked Huang for a closed-door briefing, reportedly set for 18 November, with a reply due on 11 November; Democrats have also called for scrutiny.

5. Key-person risk is unusually high. Huang co-founded Nvidia in 1993 and, according to the Times, runs it with about 60 direct reports and control over all aspects of the business. Few large companies are so identified with one person.

6. The China business is already near zero. Nvidia's guidance excludes China data-centre compute; it booked a $0.4 billion H200 charge this year. The financial risk is less about China revenue than about tighter US export policy for everyone else.

7. The timing could hardly be worse. The stock fell 9.3% on Thursday in the AI sell-off and closed Friday at $186.64, below $200; results come on 17 November and the congressional briefing a day later.

8. Our reading. The board's quick move and Huang's disclosure are designed to contain the story. The outcome depends on facts not yet public. For investors the near-term channels are sentiment, export policy and governance, not demand for Nvidia's chips, which remains the strongest in the industry.

2.0 What Happened

A timeline

According to the New York Times, policymakers in the Trump administration received a memo last spring with intelligence identifying Alice Huang as recruited by China's Ministry of State Security and describing her relationship with Nvidia's chief executive; the Times reported on Sunday that Rubio oversaw its creation. The Times earlier reported that a Megaspeed executive socialised with Huang in June and that Megaspeed was poised to buy about $2 billion of Nvidia AI technology over the next year. In an interview last week Huang described his dealings with Megaspeed as "normal and not unusual". On 4 November three House committee chairs asked him for a closed-door briefing. On Friday the Financial Times reported that the US government believed the two had a romantic relationship. On Sunday the board announced its investigation and Nvidia published Huang's memo. It is not clear when or how the two met, Bloomberg noted.

Exhibit A. Timeline

Date	Event	Source
Spring 2026	intelligence memo on Alice Huang reaches senior administration officials	NYT
June 2026	Megaspeed executive socialises with Huang; Megaspeed poised to buy ~$2B of Nvidia technology	NYT via TheFly
Oct-Nov 2026	Commerce scrutiny of Megaspeed reported	NYT
Early Nov	Huang calls Megaspeed dealings ‘normal and not unusual’	interview, via Bloomberg/NBC
4 Nov	House chairs request closed-door briefing	House Select Committee on China
5 Nov	NVDA −9.3% in the AI sell-off	market data
6 Nov	FT: US believes romantic relationship; NVDA +2.8%	FT via NBC
8 Nov	board opens independent investigation; Huang memo admits affair	Nvidia
11 Nov	reply to congressional request due	BeInCrypto
17 Nov	Q3 FY27 results	Nvidia
18 Nov	requested closed-door briefing	Wccftech

Sources as listed. Reported events are not independently verified by Andra Markets.

3.0 Confirmed, Reported, Unknown

Separating the facts

Exhibit B. Status of the main claims

Claim	Status	Source
Board has opened an independent investigation led by independent directors with outside counsel	confirmed	Nvidia board statement
Board sees no reason to believe national security or Nvidia secrets were compromised	confirmed as the board’s position	Nvidia
Huang had an affair with Alice Huang	admitted by Huang	Huang memo to staff
Huang remains CEO without interruption	confirmed	Nvidia spokesperson
Alice Huang was recruited by China’s Ministry of State Security	reported assessment by US intelligence; not adjudicated	NYT, FT, CNBC citing officials
Aim was to learn about Nvidia’s chips and possibly influence its China strategy	reported	NYT via Bloomberg
Megaspeed helped Chinese firms circumvent export controls	under reported Commerce scrutiny; Nvidia says concerns were debunked	NYT; Nvidia
Any transfer of sensitive information	no evidence made public	—
Response from Alice Huang or Megaspeed	none found in our sources	—

Andra Markets classification based on the sources cited. This report makes no finding of fact.

4.0 Megaspeed and the Export-Control Question

Where the business risk sits

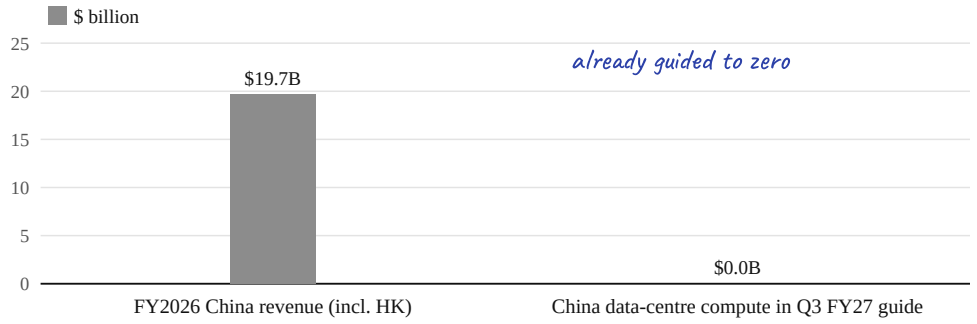
~15%

cloud partner

Megaspeed, a Singapore-based data-centre company, is part of Nvidia’s cloud partner network and, according to the Times, had close ties to Chinese technology firms. The Commerce Department has reportedly examined whether it helped companies in China obtain Nvidia AI chips despite US export restrictions; Nvidia has said it checked that Megaspeed did not illegally send its processors to China and that any diversion concerns were debunked last year. The question matters because Nvidia’s China policy has been one of the most contested issues in Washington. Huang has argued publicly that export controls have ceded market share to Chinese competitors, and he lobbied for permission to sell the H200 in China. The US granted licences in February 2026 under a revenue-sharing arrangement

reported at 15%, but Nvidia's filings say Chinese restrictions prevented most sales and that it took a $0.4B charge for excess H200 inventory in the first half of fiscal 2027. Blackwell, its most advanced line, remains banned for China.

Exhibit 2. NVIDIA's China revenue and current guidance ($ billion)



Sources: NVIDIA FY2026 filings via GPUsmith (FY2026 China incl. Hong Kong $19.67B); Q3 FY27 guidance excludes China data-centre compute (Andra Markets 2026-79).

policy, not revenue

Because Nvidia already guides to essentially no China data-centre revenue, the direct financial exposure is limited. The larger risk is indirect: a story linking Nvidia's chief executive to a suspected intelligence operation strengthens the hand of export-control hawks in both parties, at a time when a Democratic Congress takes office in January and legislation such as the GAIN AI Act, cited in Nvidia's own risk factors, would constrain the administration's flexibility. Tighter controls on sales to third countries would matter far more than China itself, because Nvidia has been expanding sales to governments and sovereign AI projects outside the US, which depend on export licences.

Exhibit C. Nvidia and China: the export-control timeline

Date	Development
Aug 2022	US export restrictions on advanced AI chips to China begin
Apr 2025	US requires licences for H20 exports to China
Dec 2025	Trump administration approves H200 sales to China, as reported
Feb 2026	US grants H200 licences for specific Chinese customers; revenue share to the US government reported at 15%
2026	China restricts imports; Nvidia says it has been unable to sell most licensed H200s
H1 FY27	Nvidia books a $0.4B H200 inventory and purchase-obligation charge
Ongoing	Blackwell remains banned for China
Nov 2026	reports link Huang's contacts with a Megaspeed executive to a suspected intelligence operation

Sources: NVIDIA 10-K and 10-Q filings; Built In; GPUsmith; Tech-Insider; press reports. Simplified.

the probe's likely scope

What will the board's investigation examine? Its statement says the inquiry will examine all available information. Investigations of this kind typically cover the executive's contacts and communications, what information was discussed or shared, compliance with internal policies on conflicts and customer relationships, and the adequacy of controls over customers such as Megaspeed, including end-use checks on chips. Independent directors with outside counsel usually report to the board, which then decides what to disclose. The process can take weeks or months; in the meantime the company's disclosures, including its 10-Q for the current quarter, may add risk-factor language.

5.0 Key-Person Risk

When the company is the founder

33 years

Huang has led Nvidia since co-founding it in 1993, steering it from near-bankruptcy in the 1990s to the centre of the AI economy. The Times describes a structure in which he dictates all aspects of the business with about 60 direct reports, an unusually flat organisation for a company of Nvidia's size. That model has been credited with speed of execution. It also concentrates risk: Nvidia has not named a successor publicly in the statements we reviewed, and the board's statement expressed confidence in

‘Jensen and his leadership team’ rather than addressing succession. History shows boards respond differently to personal-conduct issues depending on company policies and facts: Intel’s Brian Krzanich resigned in 2018 after a past consensual relationship with an employee breached company policy; McDonald’s Steve Easterbrook was dismissed in 2019 for a relationship with an employee. Nvidia’s case is different in kind, since Alice Huang was not an employee and the board’s focus is national security rather than workplace conduct.

Exhibit D. How boards have handled CEO conduct cases (context, not prediction)

Company	Year	Issue	Outcome
Intel	2018	past relationship with an employee, breach of policy	CEO resigned
McDonald’s	2019	relationship with an employee	CEO dismissed
Nvidia	2026	relationship with a customer executive reported to be a foreign intelligence asset	independent investigation; CEO remains

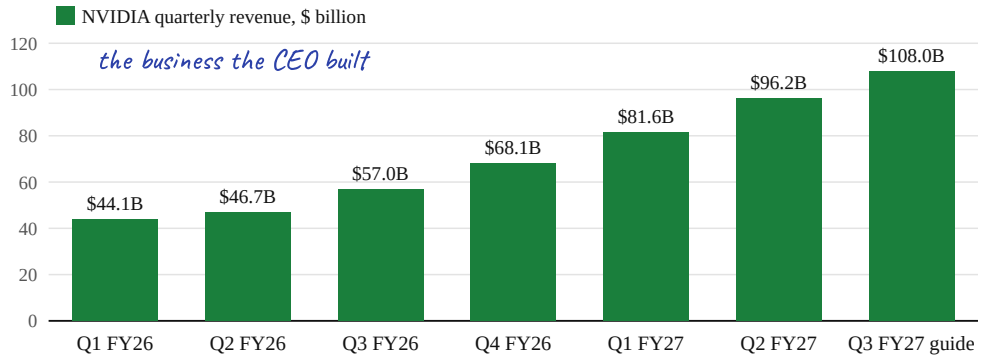
Sources: widely reported cases; Nvidia board statement. Different facts and policies; included for context only.

6.0 The Company Around the Story

Fundamentals still lead the industry

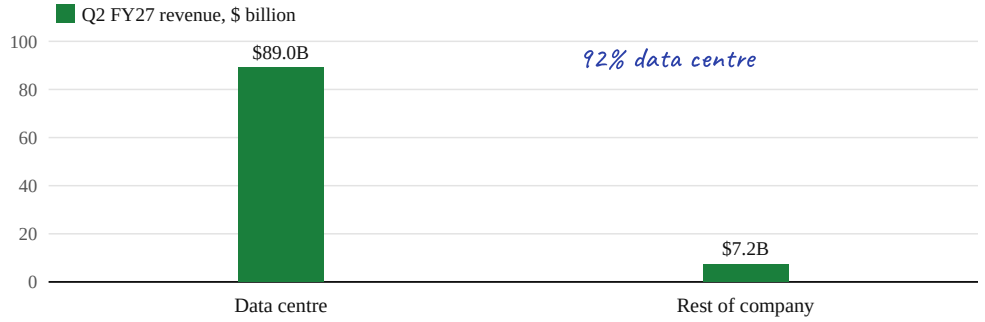
Whatever the investigation finds, Nvidia’s business is at a peak. Revenue rose 106% to $96.2 billion in the quarter to July, with data centres at $89 billion or 92% of the total, and the company guided to $108 billion for the quarter to October, with a 74% gross margin. Its exposure to the wider AI build-out has also grown: it has invested more than $7 billion directly in AI cloud providers and its filings show up to $164.5 billion of guarantees and commitments tied to data centres running its chips, as Andra Markets 2026-81 discussed. The stock, however, has been hit by the market’s turn from pricing demand to pricing constraints: it fell 9.3% on 5 November and closed Friday at $186.64, below its end-2025 level and below $200.

Exhibit 3. NVIDIA quarterly revenue ($ billion)



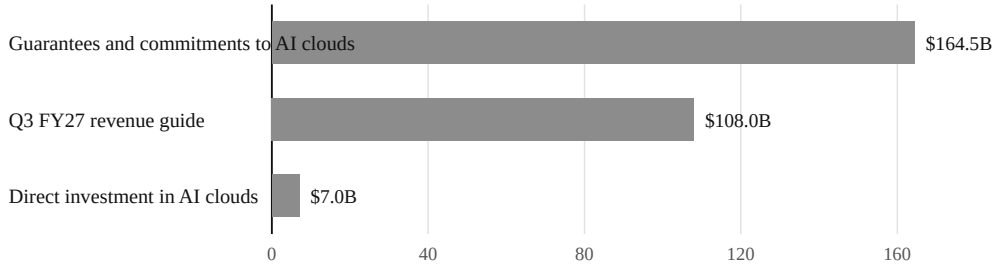
Sources: NVIDIA 8-K releases; Q3 FY27 is company guidance.

Exhibit 4. Q2 FY27 revenue mix ($ billion)



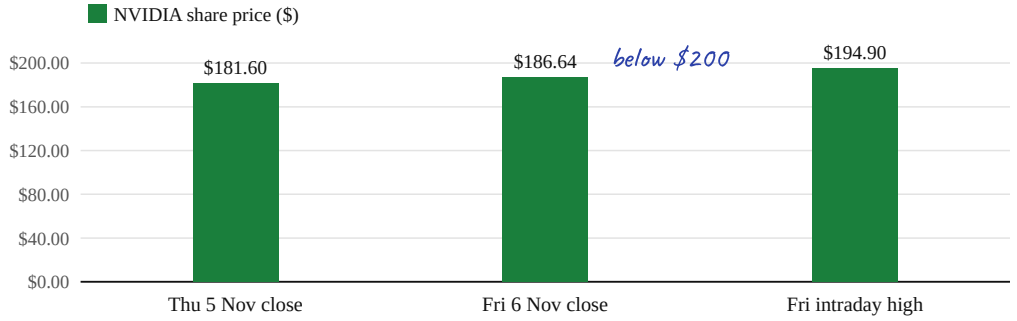
Source: NVIDIA Q2 FY27 results (data centre $89.0B of $96.2B).

Exhibit 5. NVIDIA's exposure to the AI build-out ($ billion)



Sources: NVIDIA filing via Fortune (Andra Markets 2026-81); Q3 FY27 guidance.

Exhibit 6. NVIDIA share price, end of last week ($)



Source: StockAnalysis via KuCoin.

Nvidia has absorbed sharp shocks before. On 27 January 2025 the release of the low-cost DeepSeek model knocked the shares down about 17% in a day and erased roughly $590 billion of value, the largest one-day loss for any company at the time; the stock recovered over the following months as demand data stayed strong. Last Thursday's 9.3% fall was its largest since then. The difference this time is that the issue concerns the company's leadership and its relationship with Washington rather than a technological threat to its products.

7.0 Political Risk

Hawks, Congress and the January handover

The episode arrives at a politically delicate time. The Times reports that the memo was produced under Secretary Rubio, long regarded as a China hawk, and some commentators have questioned the timing of the leak, which came days after the midterms and a week before Nvidia's results. Republican committee chairs have requested the briefing; Democrats, who take control of both chambers in January, have also called for investigations. Nvidia's China advocacy, including its campaign for H200 licences alongside White House AI adviser David Sacks, will now be examined through a counter-intelligence lens. The likeliest policy consequence is slower, not faster, liberalisation of chip exports, and potentially closer oversight of Nvidia's cloud partners abroad.

8.0 What It Means for Investors

Channels and scenarios

We see three channels. Sentiment: the story adds a governance discount at a moment when the stock was already falling with the AI trade; Monday's open will give the first read. Policy: tighter export controls or partner scrutiny could slow international sales, especially sovereign AI deals. Governance: the investigation's scope, duration and findings will determine whether this remains a personal matter or becomes a leadership question. Demand for Nvidia's products is not directly affected; the 17 November results will show whether the order book is intact.

Exhibit E. Andra Markets scenarios

Scenario	What happens	Likely market read
Contained	investigation concludes quickly with no compromise found; Huang briefs Congress; results strong	governance discount fades; focus returns to earnings and AI constraints
Prolonged	investigation and hearings run for months; leaks continue; export policy hardens	persistent discount; volatility around hearings and policy news
Leadership change	findings or pressure lead to a change in CEO role	sharp initial reaction; succession and continuity become the story

Andra Markets scenarios; no probabilities assigned. We make no finding on the underlying allegations. Not a recommendation on any security.

Exhibit F. What to watch

Date	Event	Why it matters
Mon 9 Nov	first trading session after the news	market read on governance risk
10 Nov	US-China rare-earth deadline (2026-104)	bilateral climate
11 Nov	reply to congressional request due	cooperation signal
17 Nov	Q3 FY27 results and call	demand, guidance, questions on the probe
18 Nov	requested closed-door briefing	political temperature
Weeks ahead	scope and findings of the board investigation	governance outcome

Andra Markets selection.

9.0 Investor FAQ

Short answers

Is Jensen Huang leaving? No. Nvidia says he will continue as CEO without interruption, and the board has expressed confidence in him. The investigation is ongoing.

Were secrets stolen? The board says it has no reason to believe national security or Nvidia secrets were compromised. No evidence of a transfer has been made public.

Does this affect Nvidia's revenue? Not directly. China data-centre revenue is already excluded from guidance. The risk is indirect, through export policy and sentiment.

What is Megaspeed? A Singapore-based data-centre company in Nvidia's cloud partner network, reportedly under Commerce Department scrutiny over possible export-control circumvention, which Nvidia says it checked. These answers summarise reported facts and are not recommendations.

reading: a personal scandal with a geopolitical edge. demand is untouched; governance and export policy are the channels to watch into 17-18 November

Methodology and Source Notes

Method. This report summarises Nvidia's board statement and Jensen Huang's memo of 8 November 2026, press reporting by the New York Times, Financial Times, Bloomberg, CNBC, NBC, CNN, Axios, TechCrunch and others, Nvidia's SEC filings and market data. Intelligence-related claims are reported by the press citing unnamed officials and have not been tested publicly; Andra Markets makes no finding of fact about any individual. Not a recommendation on any security. Handwritten notes and highlights are informal commentary by the desk. This note is analysis, not investment advice.

Principal sources. NVIDIA board statement and Jensen Huang memo (8 Nov 2026); NVIDIA 10-K and 10-Q filings; New York Times and Financial Times (as reported); Bloomberg via Yahoo Finance; CNBC; NBC News; CNN; Axios; TechCrunch; San Francisco Chronicle; Mediaite; Wccftech; TheFly; BeInCrypto; KuCoin/StockAnalysis; GPUsmith; Tech-Insider; Andra Markets 2026-79, 2026-81, 2026-92 and 2026-104.

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